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Case Number: 25STCV30726 Hearing Date: July 17, 2026 Dept: 1

Moving Party: Defendant Mission City Community
Network, Inc. (Clark Hill LLP)

Responding

Party: Plaintiffs Vickie Estrada and Alex Estrada (Strauss Borrelli PLLC)

Ruling: Demurrer is SUSTAINED

to the Sixth Cause of Action for Invasion of Privacy without leave to amend, SUSTAINED
as to the Seventh Cause of Action for Unfair Competition with leave to amend, SUSTAINED
without prejudice as to the Second, Fifth, and Eleventh Causes of Action for
Negligence Per Se, Unjust Enrichment, and Declaratory Judgment, and otherwise
OVERRULED.

This is a data

breach case arising from a cyberattack on the systems of defendant Mission City
Community Network, Inc. (Defendant) that was allegedly discovered on June 6,
2025. Defendant demurs to the complaint
of plaintiffs Vickie Estrada and Alex Estrada (Plaintiffs) on the grounds that
they lack standing because they have not suffered a cognizable injury, and that
each of their claims are inadequately pled as a matter of law.

LEGAL STANDARDS

A demurrer tests the sufficiency of a complaint as a matter
of law and raises only questions of law. (Code Civ. Proc. § 589; Schmidt v. Foundation Health (1995) 35
Cal.App.4th 1702, 1706.)   When considering demurrers, courts read the
allegations liberally and in context.   (Taylor v. City of Los Angeles Dept.
of Water and Power   (2006) 144 Cal.App.4th 1216, 1228.)   In a

demurrer proceeding, the defects must be apparent on the face of the pleading or by proper judicial notice. (Code Civ. Proc. § 430.30(a).) A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. (SKF Farms v. Superior Court (1984) 153 Cal. App. 3d 902, 905.) Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed. (Ibid.) The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.)

“On demurrer the allegations of the complaint are assumed to be true. A demurrer is simply not the appropriate procedure for determining the truth of disputed facts.” (Ramsden v. Western Union (1977) 71 Cal.App.3d 873, 879.) “Less particularity is required when it appears that defendant has superior knowledge of the facts, so long as the pleading gives notice of the issues sufficient to enable preparation of a defense.” (Okun v. Superior Court (1981) 29 Cal.3d 442, 458 (Okun).) “If the complaint states a cause of action under any theory, regardless of the title under which the factual basis for relief is stated, that aspect of the complaint is good against a demurrer.” (Quelimane Co. v. Stewart Title Guaranty Co. (1998) 19 Cal.4th 26, 38.) “[A] plaintiff is required only to set forth the essential facts of his case with reasonable precision and with particularity sufficient to acquaint a defendant with the nature, source and extent of his cause of action.” (Youngman v. Nevada Irrigation District (1969) 70 Cal.2d 240, 245 (Youngman); see also Doheny Park Terrace Homeowners Assn., Inc. v. Truck Ins. Exchange (2005) 132 Cal.App.4th 1076, 1099 (Doheny Park Terrace).)

DISCUSSION

As a threshold matter, in their opposition Plaintiffs voluntarily dismiss without prejudice their claims for negligence per se, unjust enrichment, and declaratory judgment, respectively the Second, Fifth, and Eleventh Causes of Action in the First Amended Complaint (FAC). For the avoidance of doubt, the Court will sustain the demurrer to those causes of action without prejudice.

I.

STANDING

Defendant

contends that Plaintiffs lack standing to bring any claims arising from the data breach, because Plaintiff has not suffered a cognizable injury, citing *Limon v. Circle K Stores, Inc.* (2022) 84 Cal.App.5th 671 (*Limon*). In *Limon*, it was held that “to have standing to pursue a claim for damages in the courts of California, a plaintiff must be beneficially interested in the claims he is pursuing.” (*Id.* at 700.) More specifically,

to assess a plaintiff’s standing to pursue claims in California courts, one must consider whether the plaintiff suffered an injury— i.e. an “invasion of [his or her] legally protected interests” and whether it is “sufficient to afford them an interest in pursuing their action vigorously.” [Citation.] The latter consideration is met where the injury is ““(a) concrete and particularized, and (b) actual or imminent, not conjectural or hypothetical.”” [Citation.]

(*Id.* at 704.)

Defendant

contends that all of Plaintiffs’ claims fail because they do not establish actual misuse of their sensitive information allegedly accessed in the cyberattack, meaning they suffered no injury.

At the same time, Defendant recognizes that Plaintiffs have alleged that they have expended time self-monitoring their accounts for fraudulent activity, have experienced anxiety, sleep disruption, stress, fear, and frustration as a result of the breach, their sensitive information has been diminished in value by its breach, their right to privacy has been violated, and they are at an increased risk of fraud and identity theft, as well as experiencing an actual significant increase in spam calls and emails.

(See FAC, ¶¶ 60-71.) Defendant

simply dismisses these allegations as “speculative, generalized, and not tethered to facts showing actual misuse or a concrete, non-self-inflicted loss.”

Foster v.

Essex Property Trust, Inc. (N.D. Cal. Nov. 25, 2015, No. 5:14-cv-05531-EJD) 2015 WL 7566811 (nonpub. opn.) (Foster) is an unpublished District Court

case from the Northern District of California.

It involved an evidentiary Rule 12(b)(1) motion, not a purely legal 12(b)(6) motion which is akin to a demurrer.

(See *Id.* at p. 3; see also *Cartwright v. Garner* (6th Cir. 2014) 751 F.3d 752, 759-760 [“factual attack” form of a 12(b)(1) motion “challenges the factual existence of subject matter jurisdiction” and the court has “broad discretion” to consider evidence outside the pleadings].) Not only did the court weigh the evidence and find the plaintiff’s wanting, something this Court is not empowered to do, it also distinguished the precise allegations of emotional injury that Plaintiffs allege here. (See *Foster*, *supra*, 2015 WL 7566811 at p. 3.)

Stasi v. Inmediata Health Group Corp. (S.D. Cal. May 5, 2020, No. 19cv2353 JM (LL)) 2020 WL 2126317, is likewise distinguishable. In *Stasi*, the plaintiff’s health data was not stolen or hacked, but instead viewable and downloadable by using an internet search engine, including “names, addresses, [s]ocial [s]ecurity numbers, dates of birth, gender, and medical claim information including dates of service, diagnosis codes, procedure codes and treating physicians.” (*Stasi*, *supra*, 2020 WL 2126317 at p. 1.) The “element of theft in data breach cases to support an injury in fact based on a future risk of identity theft” was not present. (*Id.* at p. 6; see also *Id.* at p. 7 [“In the relatively few data breach cases that did not involve a confirmed theft or breach by hackers, courts have found that without a theft or hack, the exposure of personal information does not constitute an injury in fact.”]) The *Stasi* court found that given the distinctions with other pertinent cases, “the risk of identity theft here is not imminent.” (*Id.* at p. 9.)

Interestingly, the cases *Stasi* distinguished are more analogous to this one. In *Krottner v. Starbucks Corp.* (9th Cir. 2010) 628 F.3d 1139 (*Krottner*), the plaintiff Starbucks employees’ names, addresses, and social security numbers were stored on a laptop stolen from Starbucks. (*Id.* at 1140.) Examining whether “an increased risk of identity theft” was an injury-in-fact conferring standing under the Article III standard used in federal courts, the Ninth Circuit found that it did. (*Id.* at 1143.) Held the Court:

If a plaintiff faces “a credible threat of harm,” [citation], and that harm is “both real and immediate, not

conjectural or hypothetical,” [citation], the plaintiff has met the injury-in-fact requirement for standing under Article III. Here, Plaintiffs–Appellants have alleged a credible threat of real and immediate harm stemming from the theft of a laptop containing their unencrypted personal data. Were Plaintiffs–Appellants’ allegations more conjectural or hypothetical—for example, if no laptop had been stolen, and Plaintiffs had sued based on the risk that it would be stolen at some point in the future—we would find the threat far less credible. On these facts, however, Plaintiffs–Appellants have sufficiently alleged an injury-in-fact for purposes of Article III standing.

(Ibid.)

Likewise, in *In re Zappos.com, Inc.* (9th Cir. 2018) 888 F.3d 1020 (Zappos), the plaintiffs’ “names, account numbers, passwords, email addresses, billing and shipping addresses, telephone numbers, and credit and debit card information” were stolen by hackers. (Id. at 1023.) The plaintiffs did not allege that the hackers had used the stolen information to conduct any financial transactions but based their claims “on the hacking incident itself, not any subsequent illegal activity.” (Ibid.) The District Court dismissed the claims for lack of Article III standing, but the Ninth Circuit reversed, recognizing that “the information taken in the data breach still gave hackers the means to commit fraud or identity theft” even though no social security numbers were taken. (Id. at 1027.) The Court rejected the defendant’s contention that no harm was imminent, pointing to the plaintiffs’ allegation that “[a] person whose PII has been obtained and compromised may not see the full extent of identity theft or identity fraud for years” and “it may take some time for the victim to become aware of the theft.” (Id. at 1028-1029.)

Here, Plaintiffs allege that cybercriminals stole vast amounts of data from Defendant and placed it up for sale on the dark web, rendering the risk of identity theft and misuse about as imminent as it could possibly be without having already occurred. Plaintiffs will not know until disaster strikes whether or not their information has actually been misused, and cannot be expected to know more at the pleadings stage here than they already do.

Defendant contends Plaintiffs cannot rely on the risk of future identity theft where they have not sufficiently alleged that their specific information was among the information stolen, citing *Greenstein v. Noblr Reciprocal Exchange* (9th

Cir. Aug. 21, 2024, No. 22-17023) 2024 WL 3886977. The Court does not find Greenstein persuasive. Plaintiffs have no way of knowing, without

discovery, what aspects of their personal information was included in the nearly 200 gigabytes of information stolen from Defendant, who is in a superior position to know that. (See Okun v.

Superior Court, 29 Cal.3d at 458 [less particularity is needed where defendant has superior knowledge of the facts].) The Greenstein rule creates a catch-22, where plaintiffs may only proceed to discovery if they can allege that which they need discovery to confirm.

While the actual occurrence of identity theft would support an inference that Plaintiffs' information was among that stolen, that situation no longer reflects the "risk of future identity theft" and falls outside the Greenstein rule.

Defendant's

reliance on their own data breach notice attached to the FAC is

unavailing. Plaintiffs do not rely on

the data breach notice as a recounting of what happened during the data breach such that Plaintiffs would be bound by the notice notwithstanding allegations of the complaint. The fact that

Defendant told Plaintiffs that "not every patient's information was accessed during this incident" or that Defendant had "no evidence that any of the

information impacted by this incident has been misused" is not evidence that

Plaintiffs' information was not accessed or misused. As Plaintiffs allege, the information

consists of nearly 200 gigabytes, and it was posted for sale on the dark web. That is sufficient at this juncture to establish Plaintiffs' standing.

II.

NEGLIGENCE (COA 1)

"To succeed in a

negligence action, the plaintiff must show that (1) the defendant owed the

plaintiff a legal duty, (2) the defendant breached the duty, and (3) the breach

proximately or legally caused (4) the plaintiff's damages or injuries." (Thomas v. Stenberg (2012) 206

Cal.App.4th 654, 662.)

Defendant first

contends that Plaintiffs have not identified a specific deficient cybersecurity practice, but again, Plaintiffs are in no position to know what practices were followed or whether they were ineffective.

Defendant repeats its contentions that Plaintiffs have not alleged any facts supporting actual misuse of Plaintiff's information or other injury, and that Plaintiffs are bound by the statement in the data breach notice that information "may have been copied" and that Defendant has "no evidence" of misuse. For the reasons discussed above, the Court rejects this contention. The Court likewise rejects the contention that Plaintiffs have pled no causation between the data breach and their injuries.

While sparse, the allegations of temporal proximity between the data breach, which made the stolen data available for purchase on the dark web by other cybercriminals, and the uptick in spam calls and phishing attempts do raise an inference that Plaintiffs' private information was accessed and is being used.

Defendant further contends that Plaintiffs do not allege a specific deficient cybersecurity practice that caused Plaintiffs' alleged injury. Again, Plaintiffs cannot be expected to know, before discovery, what Defendant's cybersecurity practices are or how they were involved in the data breach (if at all). However, the fact that the cyberattack occurred and 200 gigabytes of medical data were stolen raises an inference that Defendant's cybersecurity measures were inadequate, and Plaintiffs' allegations are sufficient to put Defendant on notice of the charge it must meet. (See *Youngman*, supra, 70 Cal.2d at 245; *Doheny Park Terrace*, supra, 132 Cal.App.4th at 1099.)

Finally,

Defendant contends that Plaintiffs' damages are purely economic and barred by the economic loss rule. (See *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 922 ["In general, there is no recovery in tort for negligently inflicted 'purely economic losses,' meaning financial harm unaccompanied by physical or property damage."]) While not binding, the Court agrees with the reasoning of cases such as *In re Meta Pixel Tax Filing Cases* (N.D. Cal. 2024) 724 F.Supp.3d 987, 1020 and *Shah v. Capital One Financial Corp.* (N.D. Cal. 2025) 768 F.Supp.3d 1033, 1046, that lost time is not a purely economic loss subject to the rule. Plaintiffs also allege emotional distress, which is likewise not an economic loss. (See *In re Ambry Genetics Data Breach Litigation* (C.D. Cal. 2021) 567 F.Supp.3d 1130, 1142 ["injuries such as anxiety, concern, and unease" do not subject a negligence claim to the economic loss doctrine].) The Court rejects this argument.

III.

BREACH OF IMPLIED CONTRACT (COA 3)

Defendant

contends that Plaintiff has failed to allege a claim for implied contract because the FAC identifies no specific conduct by Defendant manifesting assent to any obligations. Other courts have found that requiring the plaintiff to submit private information to the defendant as a condition of receiving services or some other benefit from the defendant implies agreement by the defendant to safeguard that information. (See *Castillo v. Seagate Technology, LLC* (N.D. Cal. Sept. 14, 2016, No. 16-cv-01958-RS) 2016 WL 9280242 (nonpub. opn.) [it is difficult to imagine how, in our day and age of data and identity theft, the mandatory receipt of...sensitive personal information would not imply the recipient's assent to protect the information sufficiently."]) The Court agrees that Defendant's receipt of sensitive information "as part of the process of obtaining treatment and services provided by Defendant" (FAC, ¶ 125) constituted assent by Defendant to safeguard that information. The Court will overrule the demurrer to this cause of action.

IV.

BREACH OF THE IMPLIED COVENANT OF GOOD FAITH AND FAIR DEALING (COA 4)

Defendant

contends that "[c]laims for breach of the implied covenant are demurrable if they only replicate another cause of action for breach of contract contained within the same pleading," citing *Careau & Co. v. Security Pacific Business Credit, Inc.* (1990) 222 Cal.App.3d 1371, 1395. While *Careau* does provide that duplicative claims "may be disregarded as superfluous" (see *Ibid.*), that a claim is duplicative "is not a ground on which a demurrer may be sustained. (See Code Civ. Proc., § 430.10.)" (*Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC* (2008) 162 Cal.App.4th 858, 890 (*Blickman Turkus*)). The Court of Appeal has held that "it is a waste of time and judicial resources to entertain a motion challenging part of a pleading on the sole ground of repetitiveness. (See Civ.Code, § 3537 ['Superfluity does not vitiate'].) This is the sort of defect that, if it justifies any judicial intervention at all, is ordinarily dealt with most economically at trial, or on a dispositive motion such as summary judgment." (*Ibid.*) The Court will not sustain the demurrer to

this cause of action just because it is essentially duplicative of the breach of implied contract claim. As in any contract case, it may be that Defendant's alleged conduct did not breach the express terms (here implied by law) of the contract, but nonetheless wrongfully deprived Plaintiffs of the benefit of the contract. That would make an implied covenant claim appropriate.

Defendant further contends that the FAC fails to plead any conduct by Defendant that amounts to unfair interference with any contractual right.

As just discussed, Defendant's failure to maintain sufficient cybersecurity after agreeing to receive Plaintiffs' sensitive information as part of providing treatment and services to Plaintiffs is either a breach of an implied contract to safeguard that information or at least an interference with Plaintiffs' right to receive that safeguarding. The Court agrees that this is likely a duplicative claim but nonetheless will not sustain the demurrer to it for the reasons stated in *Blickman Turkus*.

V.

INVASION OF PRIVACY (COA 6)

The elements of a claim for invasion of privacy, that is, intrusion upon seclusion, are "(1) intrusion into a private place, conversation or matter, (2) in a manner highly offensive to a reasonable person." (*Shulman v. Group W Productions, Inc.* (1998) 18 Cal.4th 200, 231 (*Shulman*)). "We ask first whether defendants 'intentionally intrude[d], physically or otherwise, upon the solitude or seclusion of another,' that is, into a place or conversation private to [the plaintiff]." (*Ibid.*, quoting Rest.2d Torts, § 652B ["One who intentionally intrudes, physically or otherwise, upon the solitude or seclusion of another or his private affairs or concerns, is subject to liability to the other for invasion of his privacy, if the intrusion would be highly offensive to a reasonable person"]; see also *Hernandez v. Hillside, Inc.* (2009) 47 Cal.4th 272, 286 ["the defendant must intentionally intrude into a place, conversation, or matter as to which the plaintiff has a reasonable expectation of privacy"]; *Marich v. MGM/UA Telecommunications, Inc.* (2003) 113 Cal.App.4th 415, 421 ["The elements of both the statutory invasion of privacy and common law invasion of privacy include intentional conduct."])

It is undisputed

that Plaintiffs have not pled that Defendant intended that the data breach occur, and rather that Plaintiffs voluntarily provided their sensitive information to Defendant. (See FAC, ¶ 22.) Plaintiffs do not dispute this but rather contend that intent is not an element of an invasion of privacy claim. None of the federal cases Plaintiffs cite bind this Court, and either do not consider the requirement of intent or are flatly wrong on the law. *Jimenez v. OE Federal Credit Union* (N.D. Cal. Aug. 19, 2025, No. 24-cv-02746-JST) 2025 WL 2402137 (nonpub. opn.) does not address intent, but rather whether the breach constituted an “egregious breach of social norms,” something the Court need not consider here. (See *Id.* at pp. 4-5.) *Doe v. Beard* (C.D. Cal. 2014) 63 F.Supp.3d 1159, concerned a situation analogous to a data breach, where prison staff’s inadvertence caused the plaintiff’s medical records to be delivered to another prisoner and his HIV status to become known among the other prisoners. (*Id.* at 1162.) The issue of intent was likewise not raised, as “[t]he parties apparently agree[d]...that this case turns on the third prong-whether Defendants’ conduct constituted a serious invasion of privacy.” (*Id.* at 1169.)

Ruiz v. Gap, Inc. (9th Cir. 2010) 380 Fed.Appx. 689 (nonpub. opn.) holds that “California has not explicitly required a finding of intentional conduct as a prerequisite for the cause of action [for invasion of privacy] to be asserted.” (*Id.* at 692-693.) This is simply wrong. As noted above, numerous California Supreme Court decisions provide that California follows the rule of the Restatement of Torts, which requires intentional conduct. *Ruiz* cites no law whatsoever for its determination that there is no intent requirement, while failing to note *Shulman* and *Hernandez*, both significant decisions on the point. *Steinman v. UFCW Local 135* (Super. Ct. San Diego County Sept. 19, 2025, No. 25CU005928C) is also nonprecedential and unconvincing.

Because invasion of privacy requires an intentional invasion, and none has been pled, the Court will sustain the demurrer to this cause of action. It seems clear on these facts that Plaintiffs cannot in good faith plead that Defendant intended the invasion by

cybercriminals, and so the Court's tentative is to sustain the demurrer without leave.

VI.

UNFAIR COMPETITION LAW (COA 7)

Defendant argues that Plaintiffs cannot seek any relief under the Unfair Competition Law (UCL, Bus. & Prof. Code § 17200 et seq.), including restitution, because they have not shown they have no adequate remedy at law, citing *Prudential Home Mortgage Co. v. Superior Court* (1998) 66 Cal.App.4th 1236, 1250 (Prudential). Prudential involved a reconveyance statute which provided for a monetary forfeiture for violations. (Id. at 1240, citing Civ. Code § 2941.) The plaintiff there also sought injunctive relief under the UCL "requiring [the defendants] to record a deed of reconveyance on each repaid, but as yet unreconveyed, deed of trust." (Id. at 1240.) The defendants contended that this UCL claim should have been stricken, because the reconveyance statutory scheme already provided an adequate legal remedy, and the Court of Appeal agreed. (Id. at 1249-1250.) Importantly, the equitable remedy the plaintiff sought was not restitution, but injunction. (See *Ibid.*) Further, Prudential involves the availability of a UCL injunction in an action primarily seeking monetary and equitable remedies under Civil Code § 2941, which is a statute that regulates the process for recording a reconveyance of a deed of trust after a borrower pays off a secured loan. (*Ibid.*) Defendant does not contend that Plaintiffs' request for an injunction "[e]njoining Defendant from further deceptive practices and making untrue statements about Plaintiffs, the Data Breach, and the stolen Sensitive Information" is duplicative of or substituting for some other remedy prescribed by law, as was the case in Prudential. Given these distinctions, the Court does not find Prudential to be helpful in analyzing Defendant's challenge to Plaintiffs' UCL claim, which is largely restitution-based.

Defendant next contends that Plaintiffs must plead and prove they lost money or property as a result of the unfair practice. Plaintiffs respond that they lost money in that they paid more for Defendant's services than they would have had they known Defendant would not maintain adequate data security practices, citing *Moore v. Centrelake Medical Group, Inc.* (2022) 83 Cal.App.5th 515 (Moore).

In Moore, the defendant medical group suffered a cyberattack in which the plaintiffs' personal identifying information was stolen and

disseminated into the public domain. (Id. at 519.) The plaintiffs sued the medical group for breach of the privacy policy, negligence, and under the UCL. (Ibid.) The Court of Appeal held that the plaintiffs had adequately alleged UCL standing by alleging that they paid the defendant more than they would have had they known it “had not implemented and would not maintain adequate data security practices.” (Id. at 527.)

Defendant does not deny that a Moore-type benefit-of-the-bargain allegation would suffice to establish UCL standing but correctly notes that the FAC contains no such allegations. (See FAC, ¶¶ 160-176.) Plaintiffs’ allegations that Defendant “agreed to...use a portion of the funds paid by Plaintiffs and Class Members to pay for adequate cybersecurity measures” (FAC, ¶ 140) is conclusory and not factual, and unlike an agreement to safeguard personal data provided by a consumer, which arises implicitly as discussed above, Plaintiffs identify no basis or authority for implying such an agreement on the facts pled. The Court will sustain the demurrer to this cause of action, but with leave to amend.

VII.

CALIFORNIA CONSUMER PRIVACY ACT (COA 8)

Plaintiff seeks relief under the California Consumer Privacy Act (CCPA), which provides a cause of action to “[a]ny consumer whose nonencrypted and nonredacted personal information..., or whose email address in combination with a password or security question and answer that would permit access to the account is subject to an unauthorized access and exfiltration, theft, or disclosure as a result of the business’ violation of the duty to implement and maintain reasonable security procedures and practices appropriate to the nature of the information to protect the personal information[.]” (Civ. Code § 1798.150(a)(1).)

Defendant first contends that Plaintiffs have not pled facts sufficient to show that it is a “business” coming under the CCPA, which is defined as

sole proprietorship, partnership, limited liability company, corporation, association, or other legal entity that is organized or operated for the profit or financial benefit of its shareholders or other owners, that collects consumers' personal information, or on the behalf of which such information is collected and that alone, or jointly with others, determines the purposes and means of the processing of consumers' personal information, that does business in the State of California, and that satisfies one or more of the following thresholds:

(4) As

of January 1 of the calendar year, had annual gross revenues in excess of twenty-five million dollars (\$25,000,000) in the preceding calendar year, as adjusted pursuant to subdivision (d) of Section 1798.199.95.

(B) Alone or in combination,

annually buys, sells, or shares the personal information of 100,000 or more consumers or households.

(C) Derives 50 percent or more

of its annual revenues from selling or sharing consumers' personal information.

(2) Any entity that controls or

is controlled by a business, as defined in paragraph (1), and that shares common branding with the business and with whom the business shares consumers' personal information. "Control" or "controlled" means ownership of, or the power to vote, more than 50 percent of the outstanding shares of any class of voting security of a business; control in any manner over the election of a majority of the directors, or of individuals exercising similar functions; or the power to exercise a controlling influence over the management of a company. "Common branding" means a shared name, servicemark, or trademark that the average consumer would understand that two or more entities are commonly owned.

(3) A joint venture or

partnership composed of businesses in which each business has at least a 40 percent interest. For purposes of this title, the joint venture or partnership and each business that composes the joint venture or partnership shall separately be considered a single business, except that personal information in the possession of each business and disclosed to the joint venture or partnership shall not be shared with the other business.

(4) A person that does business in California, that is not covered by paragraph (1), (2), or (3), and that voluntarily certifies to the California Privacy Protection Agency that it is in compliance with, and agrees to be bound by, this title.

(Civ. Code § 1798.140(d).)

Plaintiffs allege that “Defendant is a business organized for the profit and financial benefit of its owners according to California Civil Code § 1798.140, that collects the personal information of its customers, and whose annual gross revenues exceed the threshold established by California Civil Code § 1798.140(d).” (FAC, ¶ 179.) This is a spare allegation, but sufficient at the pleadings stage. It is unclear how anyone could sue a privately held company for violation of the CCPA if they must know specific business information such as the precise amount of Defendant’s gross revenues or the number of consumers whose information it possesses. Plaintiffs’ allegations that Defendant meets the statutory definition of a business subject to the CCPA are sufficient to put Defendant on notice of the charge it must meet. (See *Youngman*, supra, 70 Cal.2d at 245; *Doheny Park Terrace*, supra, 132 Cal.App.4th at 1099.) The Court will therefore not sustain the demurrer on this ground.

Defendant next repeats its contention that Plaintiffs have not “plausibly allege[d]” the statutory predicate for a CCPA claim, namely that a breach actually occurred or that Plaintiffs’ information was accessed, or that Defendant’s security measures were insufficient. As already discussed above, Plaintiffs’ allegations on these issues are sufficient at this stage, and moreover, the “plausibility” standard is not used in California courts, where all factual allegations “are deemed to be true, however improbable they may be[.]” (*Thomas v. Regents of University of California* (2023) 97 Cal.App.5th 587, 618 fn. 12.)

VIII.

CALIFORNIA CUSTOMER RECORDS ACT (COA 9)

The California Customer Records Act (CCRA, Civ. Code § 1798.80 et seq.) provides that “[a]n individual or business that maintains computerized data that includes personal information that the individual or business does not own shall notify the owner or licensee of the information of the breach of the security of the data immediately following discovery, if the

personal information was, or is reasonably believed to have been, acquired by an unauthorized person.” (Civ. Code § 1798.82(b).)

First, Defendant again contends that Plaintiff has not pled that an “acquisition,” that is, a breach, occurred. The Court rejects that contention for the reasons already discussed. Plaintiffs’ allegations in this regard are sufficient, and Plaintiffs’ inclusion of Defendant’s data breach notice in their complaint does not bind them to the facts that Defendant included in that notice. Defendant next contends that the allegations of delay in notice are inconsistent and create uncertainty under Code Civ. Proc. § 430.10(f).

Demurrers for uncertainty are disfavored because ambiguities can be clarified through discovery. (Chen v. Berenjian (2019) 33 Cal.App.5th 811, 822 (Chen).) The purpose of California’s pleading standards is not to substitute for discovery, it is “to acquaint a defendant with the nature, source and extent of [the plaintiff’s] cause of action.” (Youngman, supra, 70 Cal.2d at 245; Doheny Park Terrace, supra, 132 Cal.App.4th at 1099.) As Defendant observes, Plaintiffs have pled that Defendant discovered the data breach on June 6, 2025, at which time Defendant posted a notice online concerning the breach. (FAC, ¶¶ 2, 4.) Plaintiffs then plead that on or about October 15, 2025, more than four months later, “MCC finally began notifying some Class Members about the Data Breach” but that “notification is ongoing with many Class Members, including Plaintiffs, still awaiting formal notice.” (FAC, ¶ 36.) There is no inconsistency in the allegations that Defendant discovered the data breach in June 2025, posted a notice online, but did not specifically notify Plaintiffs or other “owner[s]...of the information” until October 2025, if at all. Defendant does not contend that the June 2025 online notice sufficed to discharge its CCRA obligations as a matter of law, making this a non-issue.

Finally, Defendant repeats its contention that Plaintiffs have failed to plead any compensable injury or misuse or fraud resulting from the breach. The Court has already rejected these contentions and does so again for the reasons discussed above.

IX.

CONFIDENTIALITY OF MEDICAL INFORMATION ACT (COA

The Confidentiality of Medical Information Act (CMIA, Civ. Code § 56 et seq.) provides that “[a] provider of health care, health care service plan, or contractor shall not disclose medical information regarding a patient of the provider of health care or an enrollee or subscriber of a health care service plan without first obtaining an authorization,” except as provided under certain exceptions not relevant here.
(Civ. Code § 56.10(a).)

Defendant first contends that Plaintiffs have not pled facts showing a disclosure of medical information, “as opposed to a third-party criminal intrusion.” As Plaintiffs note, the California Supreme Court has recently held that a violation of the CMA occurs where “confidential information is made public or exposed to an unauthorized part...whether or not anyone actually views it.” (J.M. v. Illuminate Education, Inc. (2026) 19 Cal.5th 705, 721.) Defendant replies that “given the lack of dark web activity since the Incident, the types of data potentially impacted for Plaintiffs, and the reality that neither Plaintiff alleges their data has been misused, Plaintiffs do not plausibly face ‘significant risk.’” Again, plausibility is a federal concept with no place in California pleadings practice, and the amount of dark web activity (aside from Plaintiffs’ allegations, taken as true, that they have experienced an uptick in spam calls and phishing attempts) is a matter outside the pleadings. The Court will not sustain the demurrer on the grounds of the failure to plead an actionable disclosure.

Defendant next contends that Plaintiffs have not pled that their medical information was obtained, as that term is defined in the CMIA. The CMIA defines “medical information” as:

any individually identifiable information, in electronic or physical form, in possession of or derived from a provider of health care, health care service plan, pharmaceutical company, or contractor regarding a patient’s medical history, mental health application information, reproductive or sexual health application information, mental or physical condition, or treatment. ...

(Civ. Code § 56.05(j)(1).)

As should be apparent from the definition, not all individually identifiable information in a health care provider's possession is "medical information" under CMIA, only information "regarding a patient's medical history, mental health application information, mental or physical condition, or treatment."

(Civ. Code § 56.05(i).) *Eisenhower*

Medical Center v. Superior Court (2014) 226 Cal.App.4th 430 (*Eisenhower*)

illustrates this point. In *Eisenhower*,

thieves stole from the defendant a computer containing the names, ages, dates of birth, medical record numbers, and last four Social Security number digits for over half a million people, which had been stored in unencrypted form. (Id. at 432.) Plaintiffs, whose names were in the system, sued under the CMIA. (Ibid.) The Court of Appeal rejected the claim that the information stolen was "medical information" under the CMIA:

It is clear from

the plain meaning of the statute that medical information cannot mean just any patient-related information held by a health care provider, but must be "individually identifiable information" and also include "a patient's medical history, mental or physical condition, or treatment." This definition does not encompass demographic or numeric information that does not reveal medical history, diagnosis, or care.

(Id. at 435.)

The Court likewise rejected the claim that the existence of a medical record number indicated the person had received treatment, and even if it did, "this fact that he or she was a patient is not in itself medical information as defined in section 56.05." (Id. at 436.) The Court did, however, qualify the scope of its ruling:

It was remarked

during oral argument that in some cases the very fact that a person is or was a patient of certain health care providers, such as an AIDS clinic, is more revelatory of the nature of that person's medical condition, history, or treatment. We are not presented with, and express no opinion concerning, such a situation.

(Id. at 436 fn. 4.)

As Plaintiffs note, Defendant's own notice admitted the possibility that cybercriminals had accessed protected health information and copied it from Defendant's network during the incident. (FAC, Ex. A.) Defendant's couching of this in vague language in the notice does not bind Plaintiffs, but the fact that Defendant admitted the possibility that protected health information had been accessed is sufficient to infer at the pleadings stage that Plaintiffs' protected health information was accessed, particularly together with Plaintiffs' allegations concerning the uptick in spam calls and phishing attempts. The extent of the data breach and whether Plaintiffs' information actually was accessed can be probed in discovery. The Court will overrule the demurrer to this cause of action.

CONCLUSION

For the foregoing reasons, the Court rules as follows:

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The demurrer is SUSTAINED as to the Sixth Cause of Action for Invasion of Privacy without leave to amend;

.

The demurrer is SUSTAINED as to the Seventh Cause of Action for Unfair Competition, with leave to amend;

.

The demurrer is SUSTAINED as to the Second Cause of Action for Negligence Per Se, the Fifth Cause of Action for Unjust Enrichment, and the Eleventh Cause of Action for Declaratory Judgment without prejudice, pursuant to Plaintiffs' decision to voluntarily dismiss those claims without prejudice; and

.

The demurrer is otherwise OVERRULED.

Plaintiffs to give notice.